IRAN–HORMUZ WAR & US ECONOMIC SHOCK MONITOR

Daily edition · 8 Jul 2026 intraday · Bloomberg · Singapore 8 Jul AM update

HEADLINE JUDGMENT

Note: 8 Jul figures are intraday prints; 7 Jul is now a final close ($74.12 Brent). Bloomberg's restated continuation series (front-month CO2/CL2) in force; two gasoline series tracked (AUTMUSAG / AAA pump — score reference; USRFRUSA / DOE spot — corroboration). **Score JUMPS +2 to 21/30 — the quiet consolidation has broken on a fresh re-escalation.** Iran attacked the Qatari LNG tanker Al-Rekayyat near the strait on 7 Jul (confirmed by Qatar's foreign ministry), with two further UKMTO-reported tanker strikes off Oman (6–7 Jul), and the **US revoked Iran's oil-sale license** — walking back the sanctions relief, since the MOU is "performance-based." That drove two upgrades: **oil 1→2** (Brent rallied from $72.24 on 6 Jul to $74.12 on the 7 Jul close and $75.58 intraday — a ~$3/bbl premium rebuilt) and **escalation 3→4** (the first vessel attacks since the late-June stand-down, plus the US punitive step — the interim deal is fraying). **Two more upgrades are now imminent:** the 30Y closed above 5.00% for the first time (5.06%) with MOVE climbing to 70.25 — Treasury →5 fires if MOVE breaks 75; and 5Y5Y is back at the 2.20% line (10Y breakeven back to pre-war) — US-inflation →4 fires on a sustained break >2.20%. Either would push the score into the crisis band (22+). Maritime holds 4 (attacks re-intensified the denial, but no formal re-closure — not 5); political 4 (gasoline still easing on lagged pre-re-escalation prints). The dollar is back above 101, TTF surged to €48, VIX 16.13. The key question is whether this spirals toward the crisis band or both sides stand down again as in late June. Sequencing 19 → 19 → 21.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

8 Jul 2026 readings are intraday prints; 7 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 8 Jul intraday vs 7 Jul close; w/w deltas are vs 1 Jul close.

Benchmark	Intraday 8 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$75.58 /bbl	+$1.46 (+$3.58 w/w)	from $72.48 (+4.3%) — above pre-war; ~$3.1/bbl premium rebuilt on the tanker attacks (oil 1→2)	CO2 Comdty
Brent · 7 Jul close (carried)	$74.12 /bbl (vs $72.95 intraday I reported)	rallied +$1.17 into the close (+3% settle) on the Qatari-tanker attack; +$3 after hours on the US license revocation		CO2 Comdty (Close)
WTI front-month	$71.87 /bbl	+$1.53 (+$3.36 w/w)	from $67.02 (+7.2%) — back toward the low $70s	CL2 Comdty
Brent–WTI spread	$3.71 /bbl	–$0.07 d/d	steady	derived
Henry Hub natural gas	$3.28 /MMBtu	+$0.01 (+$0.06 w/w)	from $3.06 (+7.1%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€48.18 /MWh	+€1.60 (+€5.40 w/w)	from €31.23 (+54.3%) — surging on the strait re-escalation (Qatari LNG hit)	TZTA Comdty
Japan/Asia LNG (26 Jun print)	¥2,479	— (lagged)	from ¥1,669 (+48.5%) — stale; likely to firm on the LNG-tanker attack	JGLA Comdty
US license revocation	Washington revoked Iran's oil-sale license (the OFAC relief), calling the MOU "entirely performance-based" — a punitive step after the attacks.			US Treasury / CNBC
EIA June STEO (9 Jun)	Brent ~$105/b Jun–Jul assumed a closed strait — still stale, but the gap has narrowed on the re-escalation			EIA STEO

US Treasuries and inflation expectations — Bloomberg

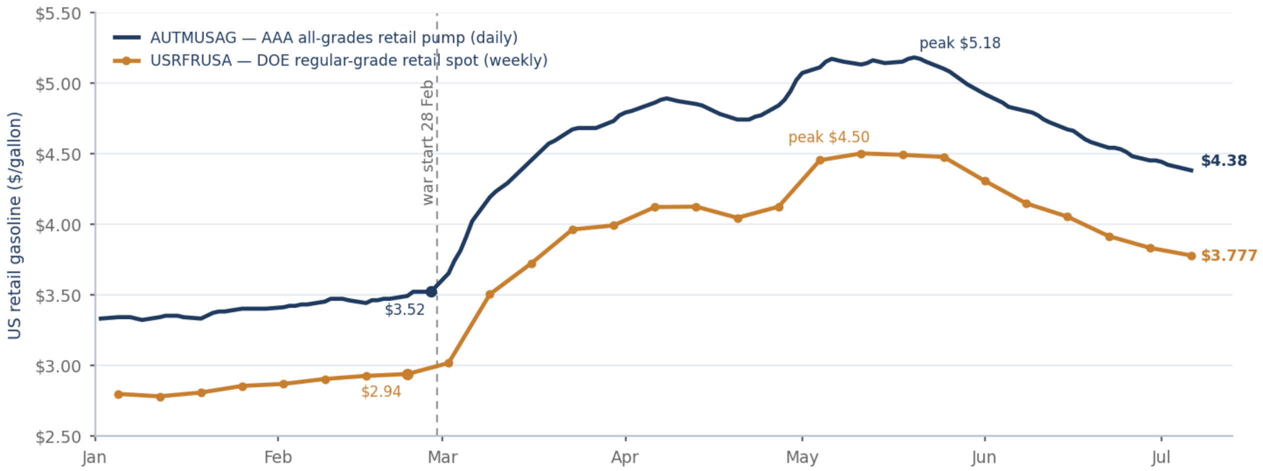
8 Jul 2026 yields are intraday. d/d deltas are 8 Jul intraday vs 7 Jul close; w/w deltas are vs 1 Jul close. The long end sold off through 5.00% and breakevens rose as the oil re-escalation repriced inflation; the 17 Jun hawkish FOMC still frames policy.

Tenor	Yield (%) — intraday 8 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.18	–0.4	+0.6	+81 (from 3.37%) — hawkish-FOMC level	USGG2YR Index
5-year UST	4.28	–0.5	+4.6	+78 (from 3.50%)	USGG5YR Index
10-year UST	4.55	+0.0	+7.2	+61 (from 3.94%) — rose toward the 4.65% trigger (10 bp below)	USGG10YR Index
30-year UST	5.06	+0.5	+9.1	+45 (from 4.61%) — CLOSED above 5.00% (5.06%) for the first time	USGG30YR Index
2s10s spread	+37 bp	+0.6	+7.0	–19 (steepest of the series)	USYC2Y10 Index
10Y breakeven inflation	2.26	–0.4	—	0 (from 2.257%) — back to pre-war on the oil bid	USGGBE10 Index
5Y5Y forward inflation	2.20	+0.3	+1.8	+6 (from 2.14%) — back at the 2.20% upgrade line (US-inflation →4 imminent)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	∆ vs pre-war	Interpretation
DXY (dollar index)	101.15	8 Jul intraday	+3.54 (from 97.61)	Back above 101 on the risk-off/oil bid. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	70.25	7 Jul (lagged)	–3.13 (from 73.38)	Jumped as the 30Y closed above 5.00% — climbing toward the 75 leg of the Treasury →5 trigger. Still below the 130 Stage-4 level.
VIX (equity vol)	16.13	7 Jul (lagged)	–3.73 (from 19.86)	Below pre-war — equities have not yet priced the re-escalation; the move is concentrated in oil and rates.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	$4.38 /gal	6 Jul (latest)	+$0.86 (from $3.52, +24%)	The political-stress reference (pre-war $3.52, peak $5.18). Still easing on lagged pre-re-escalation prints; the oil bid should slow/reverse the decline.
Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration	$3.777 /gal	6 Jul (weekly)	~+$0.84 (from ~$2.94, +29%)	Regular-grade spot; peak $4.50 (11 May). Eased again this week; the crude re-rating will feed through with the usual lag.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war $3.52, peak $5.18, latest $4.38); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~$2.94, peak $4.50, latest $3.777). Both retraced most of the war spike to ~25–30% above pre-war; the prints shown pre-date the 7 Jul re-escalation, so the pump decline may slow or reverse as the crude re-rating feeds through with the usual refining/retail lag.

Strait operational state

Indicator	Current reading	Source
Tanker attacks (6–7 Jul)	Iran attacked the Qatari LNG tanker Al-Rekayyat transiting near the strait (7 Jul; confirmed by Qatar's MFA). UKMTO reported a tanker struck by a projectile ~8 nm east of Limah, Oman (6 Jul) and another hit with structural damage (7 Jul) — the first vessel attacks since the 29 Jun stand-down.	CNBC / Qatar MFA / UKMTO
US revokes oil license	Washington revoked Iran's license to sell its oil, reaffirming the MOU is “entirely performance-based” — a punitive economic step that walks back the OFAC relief granted in June.	CNBC / US official
Deal fraying	The attacks “reaffirm the fragility” of the interim peace agreement as the sides negotiate a permanent end. Talks had been paused for Khamenei's funeral (~9 Jul); the re-escalation now overshadows them.	CNBC / GEF
Oil reaction	Brent settled +3% at $74.16 on 7 Jul, then popped 5.6% to ~$76 after hours on the license revocation; WTI +5.4% to ~$72. The war premium has partly rebuilt (~$3/bbl).	CNBC
Market read (so far)	Concentrated in oil, gas (TTF €48) and the long end (30Y >5.00%); VIX 16.13 and equities have not yet priced a broader risk event. Berenberg: both sides still have an interest in containing the conflict.	Bloomberg / Berenberg
Macro overlay	The 30Y closed above 5.00% with MOVE up (term premium + oil-driven breakevens); the dollar is back above 101. The 17 Jun hawkish FOMC still frames policy.	Bloomberg / Fed

2 · US economic shock — analysis with bond yields

The US economic shock jumps to **21/30** as a fresh strait re-escalation — Iranian tanker attacks and the US oil-license revocation — rebuilds the oil premium (1→2) and lifts escalation-risk (3→4). The move is concentrated in oil, gas and the long end; equity vol is still contained. Two further upgrades are a headline away — Treasury to 5 (30Y already >5.00%, MOVE nearing 75) and US-inflation to 4 (5Y5Y at 2.20%) — either of which would tip the score into the crisis band. This is the first upside inflection since late June.

2.1 · Bond-yield transmission

8 Jul yields are intraday; d/d vs 7 Jul close, w/w vs 1 Jul. **Oil 1→2 and escalation 3→4; score 19→21.** The 7 Jul session sold the long end through 5.00% (30Y closed 5.06%) and lifted breakevens (10Y BE back to 2.26%, 5Y5Y to 2.20%) as the oil re-escalation repriced inflation; MOVE jumped to 70.25. Brent extended to $75.58.

(i) Inflation anchor — back at 2.20%; held at 3, →4 imminent. 5Y5Y forward at 2.20% is +6 bp above the 2.142% pre-war anchor and back at the upgrade line; 10Y breakeven 2.26% is back to pre-war on the oil bid. A sustained 5Y5Y break >2.20% takes US-inflation to 4.

(ii) Long-end — through 5.00%; Treasury Fed-pinned at 4, →5 imminent. 30Y closed at 5.06% (the first close above 5.00%) with MOVE at 70.25 — the price leg of the →5 trigger is now met; the vol leg (MOVE >75) is 5 points away and rising. A MOVE break >75 takes Treasury to 5. 10Y at 4.55% is 10 bp below the 4.65% trigger.

(iii) Oil — premium rebuilt; upgraded to 2. Closes 6 Jul $72.24 (below pre-war), 7 Jul $74.12 (above); 8 Jul intraday $75.58; WTI $71.87. The tanker attacks and the license revocation rebuilt a ~$3/bbl premium, so **oil upgrades 1→2**. A sustained rally toward $95 takes it to 3; a renewed stand-down back toward pre-war to 1.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The long end is now through 5.00% with bond vol rising — Threshold B is live for the first time in weeks.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y at 5.06%, the next long-bond auction is a real test if the sell-off extends.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Live. 30Y 5.06% is 14 bp below the 5.20% trigger (narrowing); 10Y 4.55% is 10 bp below 4.65%. The oil re-escalation has closed much of the gap.

Threshold C · MOVE above 130. Rising but contained. MOVE 70.25 climbed but is below pre-war; VIX 16.13. Still far below Stage-4 levels, though the bond-vol trend has turned up.

2.3 · Cross-asset

The re-escalation has re-coupled the channels that had decoupled during the consolidation: oil, gas and breakevens rose together on the tanker attacks, dragging the long end through 5.00% and lifting the dollar back above 101. Equity vol (VIX 16.13) is the lone laggard — stocks have not yet priced a broader risk event, consistent with the view that both sides may again contain the conflict. But the rates channel is now the pressure point: with the 30Y already above 5.00% and 5Y5Y at 2.20%, a further leg in oil or bond vol tips two channels up at once. Gasoline (both series) is still easing on lagged prints — the last pre-re-escalation reads — and should slow as the crude re-rating feeds through.

3 · Shock score

Total: **21/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	**Held at 4.** Fresh tanker attacks (the Qatari Al-Rekayyat and two UKMTO-reported strikes off Oman) re-intensified the denial and reversed the traffic recovery. Not 5 — no formal re-closure or blockade reinstatement (yet).	↑ strait re-closed / blockade reinstated → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	**UPGRADED 1→2.** Brent 7 Jul close $74.12 (above pre-war) and 8 Jul intraday $75.58 — a ~$3/bbl premium rebuilt on the tanker attacks and the US license revocation. WTI $71.87.	↑ Brent >$95 sustained → to 3. ↓ renewed stand-down + sustained close back at/below the $72.48 anchor → to 1.
US inflation impulse	3/5	**Held at 3 — →4 imminent.** 5Y5Y 2.20% is back at the upgrade line (+6 bp above the 2.142% anchor); 10Y BE 2.26% back to pre-war on the oil bid. A sustained break >2.20% takes it to 4.	↑ 5Y5Y sustained >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	**Held at 4 — →5 imminent.** The 30Y closed above 5.00% (5.06%) for the first time — the price leg is met — with MOVE at 70.25, climbing toward the 75 leg. A MOVE break >75 takes it to 5.	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	**Held at 4.** Scored on AUTMUSAG (AAA pump): $4.38 (6 Jul), below the $4.75 threshold and still easing on lagged pre-re-escalation prints. The DOE regular spot ($3.777) corroborates; the crude bid should slow the decline.	↑ gasoline >$4.75 sustained → to 5. ↓ toward the $3.52 pre-war level → to 3.
Escalation risk	4/5	**UPGRADED 3→4.** The first vessel attacks since the late-June stand-down — the Qatari Al-Rekayyat and two UKMTO strikes — plus the US revoking Iran's oil-sale license. The interim deal is fraying. Not 5 — no formal re-closure or return to active war.	↑ sustained strikes / re-closure / deal collapse → to 5. ↓ renewed stand-down + talks resume → back to 3.
TOTAL	21/30	**Systemic-risk-watch band — 19→21 (first upside inflection since late June).** A fresh strait re-escalation rebuilt the oil premium and lifted escalation-risk. Two upgrades are a headline away (Treasury →5, US-inflation →4) — either tips the score into the crisis band. The swing is whether the sides spiral or stand down again.	

4 · What's changed since the last edition (7 Jul → 8 Jul AM)

Score jumps +2 to 21/30 — a fresh re-escalation. Two upgrades: oil 1→2 and escalation 3→4. Source: CNBC / Qatar MFA / UKMTO / Bloomberg.

Tanker attacks. Iran attacked the Qatari LNG tanker Al-Rekayyat (7 Jul) with two further UKMTO-reported strikes off Oman (6–7 Jul) — the first since the 29 Jun stand-down. Escalation to 4; maritime holds 4. Source: CNBC / Qatar MFA / UKMTO.

US revokes Iran's oil license. Washington walked back the OFAC relief, calling the MOU “performance-based” — a punitive step that fed the after-hours oil spike. Source: CNBC.

Oil premium rebuilt. Brent $72.24 (6 Jul) → $74.12 (7 Jul close) → $75.58 intraday; WTI $71.87; TTF €48. Oil to 2. Source: Bloomberg / CNBC.

30Y through 5.00%; breakevens up. The 30Y closed at 5.06% (first close >5.00%) with MOVE at 70.25; 5Y5Y back at 2.20%, 10Y BE at pre-war. Treasury →5 and US-inflation →4 are now imminent. Source: Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — sides contain it, normalization resumes	44%	As in late June, the attacks prove a contained flare-up; the license revocation is a bargaining lever, a renewed stand-down follows and talks resume post-funeral. Trimmed hard on the re-escalation.	Brent $64–76; 30Y 4.7–5.05%; MOVE <72; score falls back toward the stress band as oil/escalation reverse.
Slow / partial implementation	38%	Ceasefire nominally holds but normalization is now violent and stop-start — sporadic tanker attacks, the license fight, mined lanes, the toll/nuclear files. The base case.	Brent $72–88; yields firm; risk premium ~$3–8/bbl; maritime 4, escalation 4 persist; Treasury/US-inflation on the cusp of upgrades.
Implementation breakdown (60-day window)	10%	The tanker attacks and the license revocation harden into a breakdown — the MOU stalls, Iran re-restricts the strait — without full-scale war.	Brent $88–104; 30Y >5.20%; risk premium $10–18/bbl; Treasury to 5, US-inflation to 4; score into the crisis band.
Ceasefire breakdown / re-escalation	7%	The strikes spiral — US military response, Iranian re-closure — and active hostilities resume despite the MOU. Raised on the fresh attacks.	Brent $104–130; 10Y >4.65%; 30Y >5.20%; risk-off; score deep in the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk.	Brent $150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 7 Jul edition: deal-holds normalization –8 (52→44), implementation-breakdown +4 (6→10), ceasefire-breakdown +4 (3→7); slow/partial (38%) and regional relapse (1%) held. Driver: the fresh tanker attacks and the US license revocation shift weight sharply from the clean-glide path to the breakdown and re-escalation tails, though the late-June precedent (flare-up → stand-down) keeps a contained outcome the single most likely. The rates channel (30Y >5.00%, 5Y5Y 2.20%) is the amplifier.

6 · Watchlist · next 24–72 hours

Does it spiral or stand down — the swing. Whether the tanker attacks and the license revocation trigger a US military response / Iranian re-closure (escalation to 5, score into the crisis band) or a renewed stand-down as in late June (escalation back to 3, oil back toward pre-war).

Treasury →5 (imminent). The 30Y closed above 5.00% (5.06%); a MOVE break >75 (now 70.25) with the 30Y held above 5.00% takes Treasury 4→5 — the next long-bond auction and CPI are the catalysts.

US-inflation →4 (imminent). 5Y5Y is back at 2.20%; a sustained break >2.20% (as the oil bid feeds breakevens) takes US-inflation 3→4.

Oil — oil to 3. Brent $75.58 with a ~$3/bbl premium; a sustained rally toward $95 (on further attacks / a re-closure) takes oil 2→3. A renewed stand-down reverses it toward pre-war.

US license revocation. Whether Washington hardens (more sanctions) or reinstates the relief as a bargaining chip — a key signal for the MOU's survival and the oil path.

Strait attacks / traffic. Further vessel attacks or an Iranian re-closure take maritime 4→5; a stand-down with resumed transits eases it. Watch UKMTO/JMIC and insurer war-risk premiums.

Gasoline (both series). AAA $4.38 and DOE $3.777 are still easing on lagged prints; the crude re-rating should slow/reverse the decline — political-stress stays at 4 (→5 only on a sustained move back >$4.75).

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty; USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration).

Tier 1 — news and institutional. CNBC, Qatar Ministry of Foreign Affairs, UKMTO, Berenberg, Bloomberg, Reuters, GlobalSecurity; US Treasury/OFAC, US State Dept, CENTCOM, IMO, Federal Reserve. The Al-Rekayyat and UKMTO tanker attacks, the US oil-license revocation, the +3%/after-hours oil moves and the 30Y break above 5.00% via CNBC / Qatar MFA / UKMTO / Bloomberg.

Tier 3 — state media (labelled). Iranian statements (routing/toll claims, any attack-related messaging) are labelled and corroborated against CNBC / Reuters / Qatar MFA; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (7 Jul); re-map columns via the robust scan (oil front-month CO2/CL2; both gasoline series; DXY col98).
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 1 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close — oil upgraded 1→2 on the 7 Jul close above pre-war. Escalation-risk is event-based, upgraded 3→4 on the tanker attacks + the US license revocation. Treasury (→5) and US-inflation (→4) flagged imminent.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 7 Jul close rallied Brent $1.17 above my intraday and sold the 30Y through 5.00% on the tanker attack).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with spiral-vs-stand-down, the Treasury →5 and US-inflation →4 lines, oil (→3) and the US license decision.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition oil upgraded 1→2 on the 7 Jul close above pre-war. Escalation-risk is event-based, upgraded 3→4 on the tanker attacks and the US license revocation. Treasury (30Y >5.00% close, MOVE nearing 75) and US-inflation (5Y5Y at 2.20%) are on the cusp of upgrades. A hawkish FOMC continues to pin Treasury at 4.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war $3.52, peak $5.18, latest $4.38) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~$2.94, peak $4.50, latest $3.777) is tracked alongside and corroborates (~25–30% above pre-war; the shown prints pre-date the re-escalation). See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent is back above pre-war (+4.3%) and WTI well above it; 5Y5Y (+6 bp) and the long end (30Y >5.00%) sit above; 10Y breakevens are back to pre-war; the hawkish Fed holds the front end and dollar above, with the re-escalation now lifting the oil and rates channels together.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (the 7 Jul close rallied $1.17 above my oil intraday on the tanker attack, and the after-hours license revocation drove a further spike). Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.